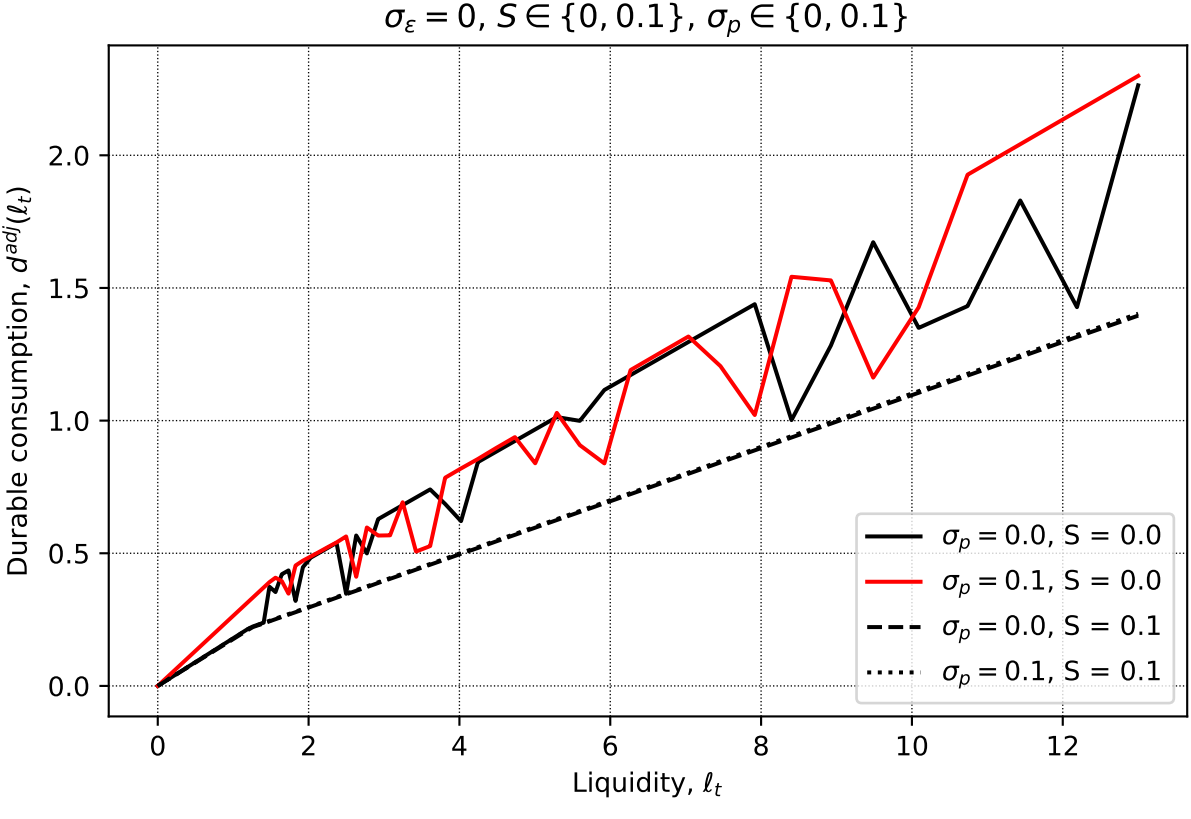
$\sigma_\varepsilon = 0$, $S \in \{0, 0.1\}$, $\sigma_p \in \{0, 0.1\}$
Durable consumption, $d^{adj}(\ell_t)$
Liquidity, ℓ_t
0.0
0.5
1.0
1.5
2.0
0
2
4
6
8
10
12
$\sigma_p = 0.0$, S = 0.0
$\sigma_p = 0.1$, S = 0.0
$\sigma_p = 0.0$, S = 0.1
$\sigma_p = 0.1$, S = 0.1